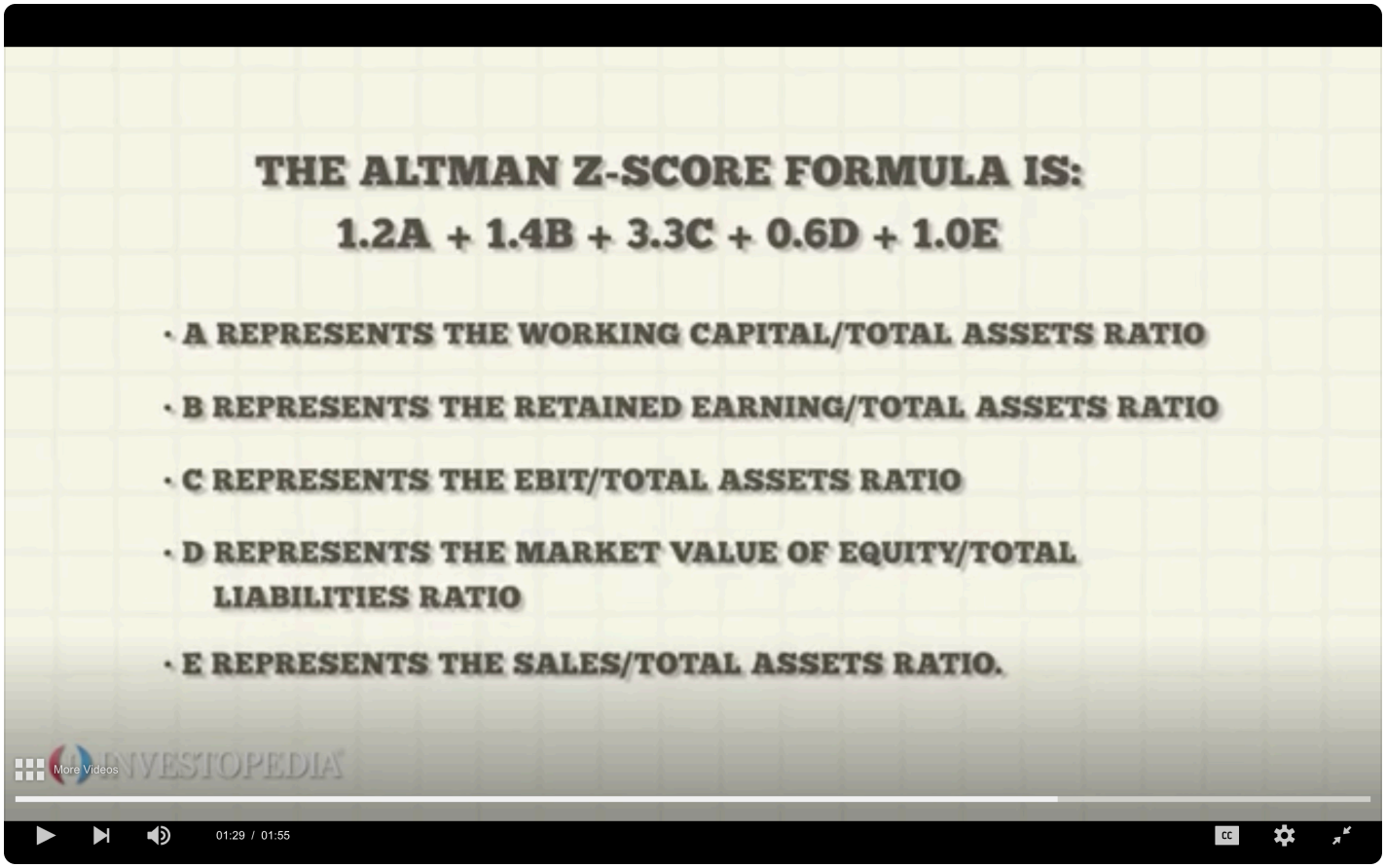
Altman Z-Score Model

The Altman Z-score is the output of a credit-strength test that gauges a publicly traded manufacturing company's likelihood of bankruptcy.

What Is Z-Score?

Z-score is a statistical measurement that describes a value's relationship to the mean of a group of values. The Z-score is measured in terms of standard deviations from the mean. In investing and trading, Z-scores are measures of an instrument's variability and can be used by traders to help determine volatility.

Z-score is a statistical measure that quantifies the distance between a data point and the mean of a dataset. The Altman Z-score, a variation of the traditional z-score in statistics, is based on five financial ratios that can be calculated from data found on a company's annual 10-K report. It uses profitability, leverage, liquidity, solvency, and activity to predict whether a company has a high probability of becoming insolvent.



1.8 - Bankrupt

1.8 to 3 - chances of bankruptcy

Z score won't work for new companies as they will always have low low earnings; leading to low z scores.

Z score does not account for cash flow; company might have high z-score but still not be able to pay their bills.